Economics - Graduate Level Assessment 17 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. For a given level of government spending the federal government usually experiences a budget______during economic______and a budget _________during economic___________.
   (a) surplus expansion surplus expansion
   (b) deficit recession deficit expansion
   (c) surplus expansion deficit recession
   (d) deficit expansion deficit recession
   (e) surplus expansion surplus recession

2. According to the quantity theory of money increasing the money supply serves to
   (a) increase long-run output with no significant impact on inflation.
   (b) have no significant impact on either output or inflation.
   (c) lower the unemployment rate while also lowering the rate of inflation.
   (d) increase short-run output but it is the source of long-run inflation.
   (e) increase the nation's long-run capacity to produce.

3. What is the so-called European Economic Community?
   (a) a political union of European nations
   (b) A social welfare collaboration between Eastern and Western European countries
   (c) a military alliance in Europe
   (d) a cultural organization in Europe
   (e) A trade agreement between Europe and Asia to promote intercontinental commerce

4. Economics supposedly deals with the efficient allocation of scarce goods. Where does scarcity fit in the circular flow model?
   (a) Scarcity is relevant only for non-renewable resources in the circular flow model
   (b) Scarcity is only relevant in the factor markets of the circular flow model
   (c) Scarcity is only considered in the household sector of the circular flow model
   (d) Scarcity is addressed through government intervention in the circular flow model
   (e) Scarcity is implicit in the entire analysis of the circular flow model

5. What is the relationship between Net National Product and Gross National Product?
   (a) GNP and NNP are always equal

(b) NNP = GNP + (Depreciation * 2)

(c) GNP = NNP + Depreciation

(d) NNP = GNP - Depreciation

(e) NNP and GNP are unrelated financial indicators

True / False (10 marks)

Answer True or False

6. True or False: A monopoly can earn short-run profits but is unable to sustain them in the long run due to market dynamics.

7. True or False: The crowding-out effect occurs when lower interest rates arise from increased borrowing to finance expansionary fiscal policy.

8. True or False: The Consumer Price Index (CPI) accurately reflects regional differences in the cost of living across the United States.

9. True or False: If 1000$isdepositedandexcessreservesincreaseby$700, the reserve ratio must be 70%.

10. True or False: If interest rates rise relatively more in country A than in country B, the value of country A's currency will appreciate.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the causes of stagflation in the early 1970 s, analyzing the interplay between price level acceleration, oil price hikes, tax systems, and macroeconomic policies.

12. Discuss the significance of the intercept term in a regression model and analyze the implications of a 95% confidence interval of (-2.50, 2.50) for this term.

End of Paper